

Town Hall: A 100 MW AI Data Center

Scenario. The fictional city of Riverton must decide whether to approve a 100 MW AI data center. The project promises jobs and tax revenue, but it would arrive faster than planned power generation and grid upgrades.

Materials. Everyone receives this common handout. Each team also receives one private role card. Read only your own team's card.

The Five Teams

1. City Government
2. Data Center Company
3. Power Company
4. Community Group
5. Jobs and Business Group

Decision rule. City Government makes the final decision: approve, approve with up to three conditions, delay, or reject. Any conditions must clearly state what is required, who is responsible, and how compliance will be checked. If the project is approved with conditions, the Data Center Company may accept them or withdraw.

Preparation — 10 Minutes

Teams 2, 3, 4, and 5 should agree on their preferred decision, two main goals, one thing they can give up, one question for another team, and one result they cannot accept.

Team 1 should rank its three decision priorities and prepare one question for each other team.

Town Hall — 25 Minutes

1. **Team statements (4 minutes):** Teams 2, 3, 4, and 5 receive one minute each. City Government listens.
2. **Questions and negotiation (12 minutes):** City Government asks questions. Teams may challenge claims, propose trades, and respond to alternatives.
3. **Team discussion and final offers (4 minutes):** Teams may discuss and revise their positions. Each stakeholder team then gives City Government a one-sentence final offer or states one result it cannot accept.
4. **Final decision (5 minutes):** City Government announces and explains its decision. If the project is approved with conditions, City Government states no more than three. The Data Center Company then accepts the conditions or withdraws.

Common Factsheet

The central conflict. The Data Center Company wants to begin construction within 12 months, but a normal grid connection would take four to six years. Riverton must decide whether the economic benefits justify the grid costs, water use, and effects on nearby residents.

Project size	The center would start at 100 MW and could grow to 180 MW after four years. MW measures the power needed at one moment. If 100 MW runs all year, it uses $100 \text{ MW} \times 8,760 \text{ hours} = 876,000 \text{ MWh}$, or 876 GWh. One GWh is one million kWh. At 180 MW, annual use could reach 1,577 GWh.
Grid timing	The grid has an 11% reserve margin: it has only 11% more capacity than expected peak demand. A normal connection would take four to six years. An earlier connection is possible only if the Power Company may reduce the center's power during grid stress.
Electricity plan	The Data Center Company proposes grid electricity, batteries, temporary onsite gas generation, and a renewable power-purchase agreement (PPA). The PPA would buy as much renewable electricity as the center uses over a year. It would not make every hour clean.
Water	Cooling could use 950–1,700 cubic metres of water per day: 950,000–1.7 million litres. This is roughly the daily home use of 7,000–12,000 people at 140 litres per person. Summer water restrictions already occur for two to four weeks in a typical year.
Jobs and taxes	The project promises 1,100 construction jobs for two years, but only 45–65 permanent jobs. Gross local tax revenue is estimated at \$5–8 million per year before incentives. The Data Center Company requests \$60 million in tax relief over ten years. This could use most or all of the projected ten-year tax revenue before public costs.
Nearby community	The site is about 320 metres from the nearest neighborhood. Main concerns are noise, generator testing, construction traffic, water use, air pollution, and possible increases in electricity prices.
Grid-upgrade costs	The required grid upgrades are estimated at \$75–140 million. It is not yet clear how much the Data Center Company would pay and how much other electricity customers might pay. This is one of the main decisions in the negotiation.